SOP-INCOMING GOODS INSPECTION

[CONFIDENTIAL]
[UTTHUNGA TECHNOLOGIES]
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CHANGE HISTORY

This section describes the details of changes that have resulted in the current document.

SL. No.	Document Version No.	Change Description	Reason For change	Date Prepared By	Date Reviewed By	Date Approved By
01	0.1	Draft	New process improvements	Siva Prasad P 18-Dec-23		
02	Issue B Version 1.0	Review Comments			Anitha 16-Feb-24	
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04	Issue B Version 1.2	Document formatting, font style to Poppins and alignment	Updated as per document guidelines	Aniket Parab 20-Dec-2024	Anitha N 23-Dec-2024	Santosh V 31-Dec-2024
5	Issue C Version 1.0	Review of document	New version update of IMS	Anitha N 01-Aug-25	Santosh V 08-Aug-25	Sanmangala M S 14-Aug-25

1 Purpose

The purpose of incoming goods inspection is to ensure that the materials received meet the required standards, specifications, quality levels, compliance, traceability, supplier performance evaluation, cost control, production efficiency, customer satisfaction.

2 Scope

The scope of incoming goods inspection across organizations is to ensure the goods received meet the standard requirement as per specification.

Out of scope of this incoming goods inspection SOP are product design evaluation, supplier negotiations, financial transactions, long-term supplier relationship management, employee training, facility security, regulatory compliance beyond inspection, logistics and transportation management, inventory management beyond inspection.

3 Abbreviations

a. PM - Project Manager.

b. RFQ - Request for Quotation.

c. GRN - Goods Receipt Note

d. IR – Inspection Report.

e. APL – Approved Supplier List.

f. IGI- Incoming Goods Inspection.

g. QA – Quality Assurance.

h. IMS - Integrated Management System.

i. ICAR – Internal Corrective Action Request.

j. SCAR- Supplier Corrective Action Request.

k. COC - Certificate of Conformance.

l. BOM - Bill of Material.

m. CFT - Cross Functional Team.

n. LAR - Lot Acceptance Ratio.

4 Terms and Definitions

a. Incoming Goods Inspection: The process of checking and verifying the quality, quantity, and conformity of materials received from suppliers before they are used in production/projects.

b. Quality Control (QC): The systematic process of ensuring that products or materials meet specified quality standards.

c. Quality Assurance (QA): A broader management system that focuses on providing confidence that quality requirements will be fulfilled.

d. Acceptance Criteria: The specified standards or requirements that materials must meet to be accepted.

e. Non-Conforming Material: Material that does not meet the specified acceptance criteria and may require corrective action, rework, or rejection.

f. Certificate of Conformity (CoC): A document provided by the supplier, certifying that the delivered materials meet the specified requirements.

g. Traceability: The ability to trace and track the origin, history, and use of materials through the supply chain.

h. Visual Inspection: An inspection method that involves assessing materials based on their physical appearance, without specialized testing equipment.

i. Rejection: The decision not to accept delivered materials due to non-compliance with specified requirements.

j. Lot/Batch Number: A unique identifier assigned to a specific quantity of materials produced or processed at the same time.

5 Responsibilities

The Procurement Department is responsible for defining and communicating material specifications and quality requirements to suppliers. It also includes verifying that suppliers adhere to the required quality standards and compliance regulations.

a. Admin Department is responsible for receiving and logging incoming goods, where the accuracy of documentation, including packing slips and certificates of conformity is verified, any discrepancies or issues identified during this verification process are promptly communicated to the relevant departments for resolution.

b. Inspection Personnel is responsible for incoming goods inspection process involving performing visual inspections using the IGI checklist provided by IMS to identify defects or damages, sampling and testing to be conducted following established procedures, the inspection results are documented, and any non-conforming materials are reported.

c. Quality Assurance Team is responsible for creating and maintaining inspection procedures and providing training to inspection personnel on quality standards, procedures and audits carried out to validate the efficiency and traceability of the received goods with the inspection process.

d. Storage Personnel is responsibility for ensuring proper storage conditions for incoming materials, including the implementation of measures to prevent damage or contamination during storage.

e. Engineering/Technical Team is responsible for providing input on material specifications and quality requirements, contributing to QA/QC team in addressing technical aspects of material inspections.

f. Project Manager/Lab Manager is responsible for maintenance of accurate records for incoming material inspections, covering certificates of conformity, test results, and inspection reports.

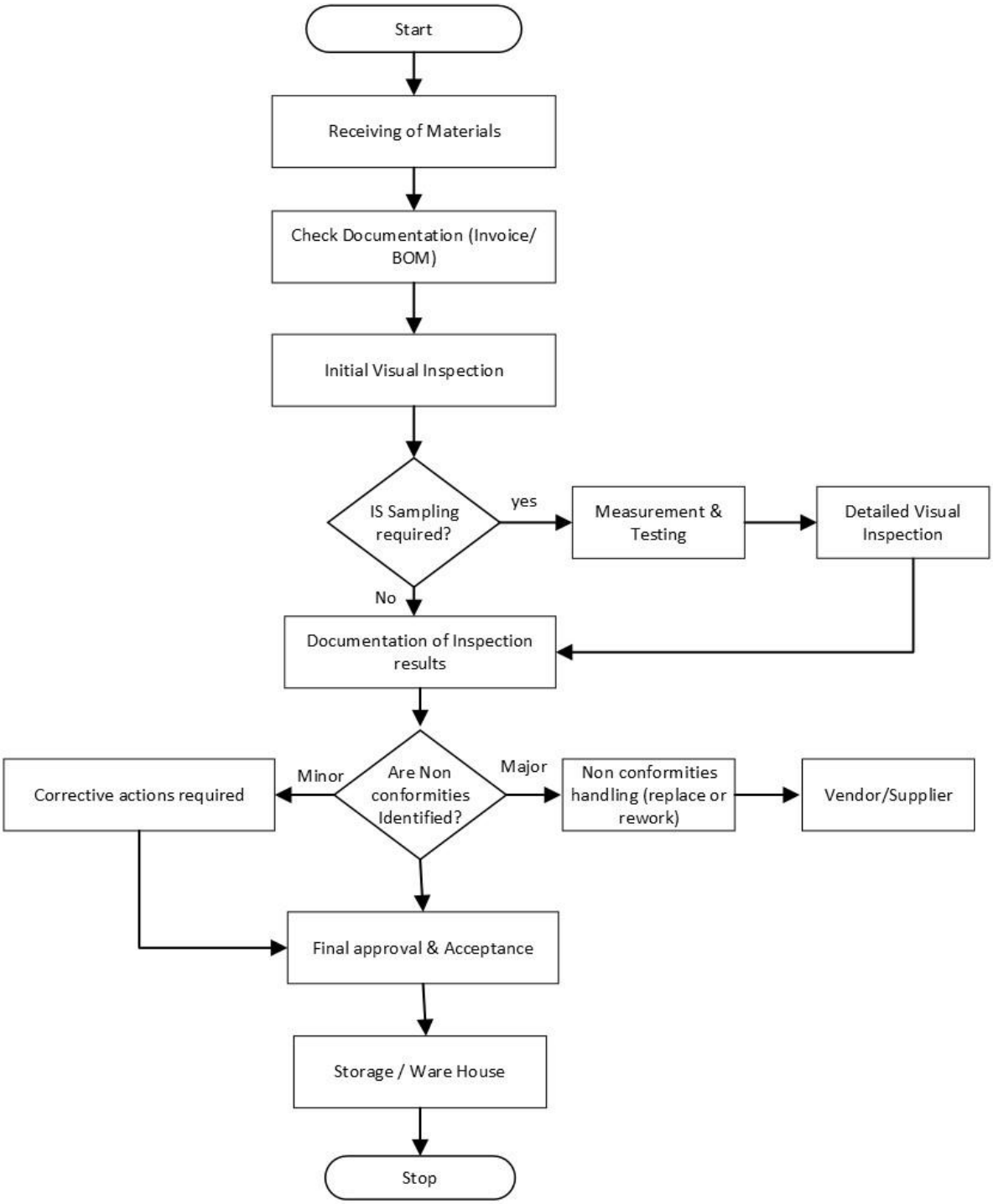
6 RACI

Process	Responsible	Accountable	Consulted	Informed
Incoming Goods	Admin Team	Admin Manager	Project Team	Project Manager
Initial & Detailed Visual Inspection	Inspection Personnel	Project Manager	Purchase Manager	Quality team
Report Non-Conforming Materials	Inspection Personnel	Project manager	Purchase Manager, Quality team	Vendor/Supplier
Corrective Action Required	Vendor/Technical Team	Inspection Personnel	Project Manager	Purchase Manager
Approved Goods	Technical Team	Project Manager	Purchase Manager, Quality team	Vendor
Storage	Technical Team/Lab Team	Project Manager	Admin Team	Project Team

7 SIPOC

Supplier	Input	Process and Control		Output	Customer
		Process	Control		
External Suppliers/Vendors	Invoice/BOM	Incoming Goods	Packing List	Goods Received	Admin Team
Admin Team	Goods Received	Initial & Detailed Visual Inspection	Accuracy of received Goods	Goods handover to Department	Project Teams
Inspection personnel	Initial Inspection Report	Report Non-Conforming Materials	Measurement & Testing	Detailed Inspection Report	Project Manager
Technical Team	Detailed Inspection Report	Corrective Action Required	Non-Conformities report	Corrective Actions/ Rejections	Project Manager
Project Manager	Corrective Actions	Approved Goods	Rework or Replacement	Final Approval & Acceptance	Storage House
Technical Team	Goods Received	Storage	Placement of Goods	Storage location	Project Team

8 Overall Process Flow Chart



9 Process Description

9.1 Incoming Goods

a. The arrival of goods at the receiving area, the receiving team is notified of the incoming shipment.

b. Admin team unloads the goods and verifies the accuracy of the received items against the packing list or invoice/BOM.

c. Relevant shipping documents, such as packing lists, invoices, and certificates, are checked for accuracy and completeness.

d. Admin teams shall check for any discrepancies or issues during verification process and communicate to the relevant departments for resolution.

9.2 Initial and Detailed Visual Inspection

a. Respective inspection personnel from the project team performs detailed preliminary visual inspection to identify any visible damage, discrepancies, or defects in the received goods by using inspection checklist.

b. Inspection personnel shall create an initial inspection report as per the project's specific needs.

c. The technical team from the project shall collect the representative samples from the received lot for more detailed inspection and testing.

d. Critical dimensions, specifications, and quality attributes are measured and tested according to predefined criteria and shall involve specialized equipment or testing procedures.

e. A thorough visual inspection report is performed to detect any non-conformities, such as surface defects, contamination, or irregularities.

f. Technical team develops detailed visual inspection report. Report shall cover detailed inspection results, including measurements, test outcomes and any non-conformities found.

9.3 Report Non-Conforming Materials

a. Based on the inspection results, the project manager shall decide to accept, reject, or ask for further action (e.g., rework or replacement).

b. If non-conforming items are identified, a process is initiated to handle them appropriately. this may involve segregation, tagging, and documentation of non-conforming material.

c. If there are major non-conformities, the project manager informs the purchase manager and requests for the replacement of goods from supplier/vendor.

9.4 Corrective Action Required

a. Inspection results and decisions are communicated to relevant stakeholders, including the purchase team, project manager, and quality assurance team.

b. If non-conformities are identified, corrective actions are initiated by the project manager, such as notifying the supplier, arranging for returns, or implementing corrective measures internally.

9.5 Approved Goods

a. Goods that meet the specified criteria are approved for acceptance, and the necessary documentation is updated accordingly.

b. Proper documentation of inspection results and decisions is critical for traceability and continuous improvement.

9.6 Storage

a. Accepted goods are moved to the appropriate storage location by project teams.

b. Storage personnel should encompass proper storage conditions for incoming goods, including the implementation of measures to prevent damage or contamination during storage.

c. Facilitating the efficient retrieval of materials as needed for both inspection and production processes. This comprehensive approach aims to maintain the integrity and quality of stored materials throughout their lifecycle within the facility.

d. Communication with suppliers is maintained to address quality issues, provide feedback, and improve future shipments.

10 Information Security requirements

a. Suppliers shall be assessed based on adherence to information security requirements specified by the Utthunga.

b. Supplier shall sign the NDA with the organization if required. NDA is applicable for all service-based suppliers, it is also applicable when confidential data such as specifications, drawings, designs, patterns is to be shared to the suppliers (subcontractors, consultants & testing)

c. ICT (Information Communications Technology) based suppliers shall also be monitored on agreed SLA's (Service Level Agreements)

11 References

a. ISO 9001 Clauses 8.1

b. ISO 27001 Clauses 8.1, Controls A.14

c. ISMS Control Policies

d. SOP - Procurement

12 Metrics

a. Inspection Cycle Time

b. Incoming Goods Acceptance Rate

c. Supplier Quality Rating

13 Annexures

Nil

14 Forms

a. Incoming Goods Inspection Template UT/SD/HP/TMP/01.